Canada Bread Company, Limited

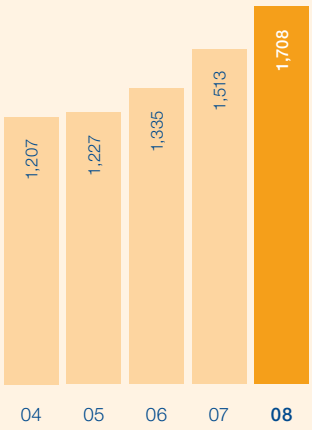
2008 ANNUAL REPORT

Financial Highlights

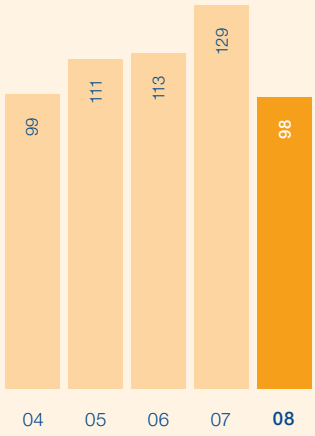
For years ended December 31 (In millions of Canadian dollars except per share information)	**2008**	2007	2006	2005	2004
CONSOLIDATED RESULTS					
Sales	**1,708**	1,513	1,335	1,227	1,207
Earnings from operations before restructuring and other related costs	**98**	129	113	111	99
Net earnings	**65**	84	54	75	67
PER SHARE					
Basic EPS	**2.55**	3.30	2.11	2.95	2.62
Adjusted EPS[i]	**2.87**	3.31	3.09	3.07	2.62
Diluted EPS	**2.55**	3.30	2.11	2.93	2.57
Dividends	**0.24**	0.24	0.24	0.24	0.24
Book value[ii]	**27.87**	24.99	23.15	21.05	18.75
NUMBER OF SHARES (MILLIONS)					
Weighted average	**25.4**	25.4	25.4	25.4	25.4
Outstanding at December 31	**25.4**	25.4	25.4	25.4	25.4

(i) Refer to non-GAAP measures on page 2 (Management's Discussion & Analysis) for definition
(ii) Excludes equity component of long-term debt

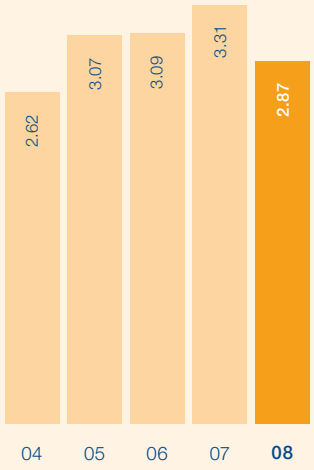
Sales
(millions of dollars)



Earnings from Operations
Before restructuring and other related costs (millions of dollars)



Earnings per Share
Before restructuring and other related costs and non-recurring tax adjustment (dollars)



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To Our Shareholders

While we have a strong, branded business, like any other business, we have some exposure to underlying cost changes. In our case, the unprecedented, vertical spike in commodity prices in the first half of 2008 – most notably wheat and oil prices – had a short-term but significant impact on our profit margins. Through a combination of some decline in global commodity values and some price increases our margins have now largely normalized and it appears we are back to a more stable, yet higher overall commodity environment.

Putting commodities aside, our bakery businesses are built on a strong base of excellent customer relationships, leading brands and market shares in our core businesses. Last year we completed some important network changes that increased volumes in our plants and reduced distribution costs. There is still further opportunity to create a more efficient supply chain that we will pursue. We've had some challenges in the U.K. business with a major oven fire at our bagel plant and the corresponding impact on production. However, we have built a strong niche in the U.K. specialty bakery market, with lots of opportunity for continued growth.

As we enter 2009 and the severe global economic concerns, our business of providing people with an important staple in life – bread and bread products – is a good business to be in. We are squarely focused on growing our volumes through two primary means – deepening our customer relationships and accelerating innovation for consumers.

We are implementing a new and exciting sales model across our businesses, grounded in understanding our customers' business strategies and goals, and aligning what we do to support these goals. This is how we will define our sales strategies and measure our success. With our geographic and product breadth we have capacity to tailor our business with our customers and deepen our relationships based on the results we deliver. For some customers this may be a more transactional relationship, but for most what we aspire to is a close relationship where we fully understand and advance each others' business strategies.

On the innovation front, last year we further expanded our market position in the premium nutrition bread business, one of the fastest growing segments of the bakery market. We launched new fresh pasta and sauce products, growing this small but very important business. With the opening of the Maple Leaf Foods ThinkFOOD! innovation centre this spring, I am really excited about the ability to drive innovation to new levels through providing our people and our customers with a world-class resource to develop and test new products.

Thank you for your support and investment in us – our team is passionately focused and enthusiastic about what can be accomplished this year!



Richard A. Lan
President and
Chief Executive Officer



Michael H. McCain
Chairman

Management's Discussion and Analysis

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or "the Company"), 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,500 people at its operations across North America and in the United Kingdom ("U.K.").

OVERVIEW

In 2008, Adjusted Operating Earnings(i) decreased by 24.6% to $97.6 million (2007: $129.5 million) and adjusted earnings per share ("Adjusted EPS")(i) decreased by 13.1% to $2.87 per share (2007: $3.31 per share). All figures are reported in Canadian dollars except as otherwise specified.

SELECTED FINANCIAL INFORMATION

The following is a summary of audited financial information for the three years ended December 31:

(in thousands of dollars except per share information)	2008	2007	2006
Sales	**$ 1,708,330**	$ 1,513,179	$ 1,334,932
Adjusted operating earnings(i)	**$ 97,632**	$ 129,454	$ 113,410
Net earnings	**$ 64,936**	$ 83,751	$ 53,550
Basic and diluted EPS	**$ 2.55**	$ 3.30	$ 2.11
Adjusted EPS(i)	**$ 2.87**	$ 3.31	$ 3.09
Total assets	**$ 994,910**	$ 998,182	$ 924,268
Net debt(i)	**$ 1,691**	$ 34,061	$ 40,661
Return on net assets (RONA)(i)	**9.3%**	11.6%	12.0%
Cash flow from operations	**$ 137,435**	$ 122,115	$ 106,342
Cash dividends per share	**$ 0.24**	$ 0.24	$ 0.24

(i) Refer to Non-GAAP measures below.

NON-GAAP MEASURES

The Company reports its financial results in accordance with Canadian GAAP. However, the Company has included certain non-GAAP financial measures and ratios in this analysis which management believes provide useful information in measuring the financial performance and financial condition of the Company. These measures do not have a standardized meaning prescribed by Canadian GAAP and, therefore, may not be comparable to similarly titled measures presented by other publicly traded companies, nor should they be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

A) ADJUSTED OPERATING EARNINGS

"Adjusted Operating Earnings" is defined as earnings from operations before restructuring and other related costs. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations.

B) ADJUSTED EPS

"Adjusted EPS" is defined as earnings per share before restructuring and other related costs, net of taxes, and certain non-recurring taxation adjustments. Management believes that this is the most appropriate basis on which to evaluate financial results, as the taxation adjustments and restructuring and other related costs are not representative of continuing operations.

EPS RECONCILIATION

(Per share)	2008	2007	2006
Reported EPS	**$2.55**	$ 3.30	$2.11
Restructuring and other related costs, net of tax	**$0.32**	$ 0.12	$0.15
Tax benefit from lower future tax rates[i]	**–**	($ 0.11)	–
U.S. tax adjustment[ii]	**–**	–	$0.83
Adjusted EPS	**$2.87**	$3.31	$3.09

(i) During 2007, the Company recorded an unusually large net tax benefit of $2.8 million related to the enactment of lower future tax rates
(ii) In 2006, the Company recorded a non-recurring tax expense of $21.2 million to write down future tax assets that originated in 2006 and earlier years related to its U.S. frozen bakery business.

C) RETURN ON NET ASSETS ("RONA")

RONA is calculated by dividing tax-effected earnings from operations before restructuring and other related costs and before interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that RONA is an appropriate basis on which to evaluate long-term financial performance, and the Company has established an objective for RONA of 11.5%.

D) EARNINGS BEFORE INTEREST, TAX, DEPRECIATION AND AMORTIZATION ("EBITDA")

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible amortization. The Company measures its credit profile using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

E) NET DEBT

Net debt is calculated as long-term debt and bank indebtedness, less cash and net of currency swaps.

ECONOMIC DOWNTURN

The current economic downturn has the potential to impact the Company's financial results positively or negatively depending on consumer behaviour, or the effects on commodity prices. For example, there is a risk that consumers may trade down in their purchases from higher margin specialty products to lower margin staple products and the Company may experience an overall volume decline. On the other hand, there has been a recent tendency among consumers to eat less frequently away from home. This trend could benefit the Company. Although the Company has experienced some decline in the sales of specialty items in its U.K. bakery that can be partly attributed to the difficult economic environment, Management is not able to predict whether the economic downturn will have a material effect on the Company's results of operations.

RISING INPUT PRICES

Management is of the view that "Food for Fuel" initiatives sponsored by the U.S. Government have resulted in increased demand for grains, in particular corn, that are used for ethanol production, and decreased land set aside for other crops such as wheat. Combined with strong demand from export markets and shortfalls in world crops, this has resulted in sharp increases in wheat prices in 2007 and early 2008.

Additionally, the price of crude oil increased significantly in 2008 with significant impact on the Company's operations, including freight, manufacturing and other indirect impacts such as packaging costs.

The scale and speed of these increases in 2007 and 2008 together with increases in other commodities led to significant margin compression in the first half of 2008 as wheat and oil are material inputs to the Company's operations. Management increased prices significantly and executed cost reduction initiatives to offset these dramatic cost increases, but was not able to execute quickly enough to recover all cost increases during 2008. In the second half of 2008, the cost of wheat and oil began to decline, but the weakening Canadian dollar offset much of the decrease, resulting in a slower decline in the price paid by the Company for wheat and oil in Canadian dollars.

Following is a summary of changes in wheat and fuel prices that have impacted the Company's business and financial results:

Management's Discussion and Analysis

WHEAT (USD PER BUSHEL)[i]

	As at December 31	Annual Average[ii]	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2008	$ 6.55	$ 10.37	$ 15.04	$ 11.59	$ 8.90	$ 6.32
2007	$ 10.36	$ 6.41	$ 5.05	$ 5.37	$ 7.05	$ 9.11
Change	(36.8%)	61.8%	197.8%	115.9%	26.2%	(30.6%)
2006	$ 5.19	$ 4.67	$ 4.11	$ 4.60	$ 4.78	$ 5.17

(i) % change in average price calculated using daily close prices (Source: Bloomberg, CBOT).
(ii) Does not equal average of quarters due to rounding.

WHEAT (CAD PER BUSHEL)[i]

	As at December 31	Annual Average[ii]	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2008	$ 7.27	$ 10.61	$ 15.02	$ 11.67	$ 9.16	$ 7.52
2007	$ 10.24	$ 6.84	$ 5.92	$ 5.89	$ 7.32	$ 8.95
Change	(29.0%)	55.0%	153.9%	98.2%	25.1%	(16.0%)
2006	$ 6.04	$ 5.29	$ 4.75	$ 5.15	$ 5.36	$ 5.88

(i) % change in average price calculated using daily close prices (Source: Bloomberg, CBOT).
(ii) Does not equal average of quarters due to rounding.

FUEL (USD PER BARREL)[i]

	As at December 31	Annual Average[ii]	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2008	$ 44.60	$ 99.67	$ 97.86	$ 123.78	$ 118.93	$ 61.50
2007	$ 95.95	$ 70.88	$ 58.11	$ 64.94	$ 75.27	$ 90.30
Change	(53.5%)	40.6%	68.4%	90.6%	58.0%	(31.9%)
2006	$ 60.85	$ 66.06	$ 63.46	$ 70.48	$ 70.40	$ 59.85

(i) % change in average price calculated using daily close prices (Source: Cushing, OK WTI Spot Price FOB).
(ii) Does not equal average of quarters due to rounding.

RESULTS OF OPERATIONS

Following are sales by business segment for the three years ended December 31:

($ millions)	2008	2007	Change	2006
Fresh Bakery	**$ 1,094.2**	$ 945.9	15.7%	$ 898.8
Frozen Bakery	**$ 614.1**	$ 567.3	8.3%	$ 436.1
	$ 1,708.3	$ 1,513.2	12.9%	$ 1,334.9

Sales for the year increased 12.9% to $1.7 billion. Excluding acquisitions, sales increased by 8.9% for the year, mostly as a result of price increases implemented across all bakery businesses in response to escalating input costs. Mix improvements in the North American frozen operations also contributed to increased sales.

Following are Adjusted Operating Earnings by business segment for the three years ended December 31:

($ millions)	2008	2007	Change	2006
Fresh Bakery	**$ 76.5**	$ 88.4	(13.4%)	$ 93.9
Frozen Bakery	**$ 21.1**	$ 41.1	(48.6%)	$ 19.5
	$ 97.6	$ 129.5	(24.6%)	$ 113.4

Adjusted Operating Earnings for the year decreased by 24.6% to $97.6 million due to margin compression across all Bakery businesses as price increases did not match the pace of sharp increases in the price of wheat and energy. However, by the fourth quarter of 2008, margins had increased closer to long-term historical levels through price increases implemented in the second quarter and the impact of declining commodity costs and internal cost reductions. Margins were not fully restored in the year as the benefit from decreasing input costs was partially offset by the weaker Canadian dollar that affects the Canadian price of flour. The Frozen Bakery segment was also impacted by higher operating costs in the U.K. operations due to an oven fire in its principal bagel manufacturing line. In 2008, the Company received insurance proceeds of $14.7 million (recorded in Other Income) to cover business interruption losses resulting from the oven fire. These proceeds should be considered in combination with the operating results as they partly offset the operating impacts of the fire during 2008.

BUSINESS SEGMENT REVIEW

FRESH BAKERY

Fresh Bakery sales in 2008 increased 15.7% to $1.1 billion compared to $945.9 million last year due to increased prices and the contribution of acquisitions. Excluding acquisitions, sales increased by 10.9% to $1.0 billion compared to last year.

Adjusted Operating Earnings for the year declined 13.4% to $76.5 million compared to $88.4 million last year. Earnings were affected by high wheat and oil prices, which peaked in the first half of 2008 and began to decline thereafter. Price increases implemented in the fourth quarter of 2007 and early 2008 were not sufficient to offset these rapid increases in input costs in the first half of 2008. By the fourth quarter of 2008, margins had increased closer to long-term historical levels through price increases and the impact of declining input costs and internal cost reductions. Margins were not fully restored in the year as the benefit from decreasing input costs was partially offset by the weaker Canadian dollar in the fourth quarter that affected the Canadian price of flour.

Excluding acquisitions, investments in marketing increased by 17.6% in the year to support new product development and innovation in the fast growing ethnic and health conscious markets. In 2008, the Company launched *Smart 100% Whole Grain Wheat* bread nationally and *Smart Snack Cakes* in Eastern Canada as well as *Dempster's Indian Naan* in Ontario. Olivieri launched new Gourmet flavour filled pasta in the U.S. and Canada while expanding its offering in sauces for pasta and pizza.

In the first quarter of 2008, the Company completed the purchase of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec.

FROZEN BAKERY

Frozen Bakery sales increased 8.3% to $614.1 million in 2008 compared to $567.3 million last year. Excluding acquisitions, sales increased 5.7% to $599.5 million compared to 2007. Increased prices and improvements in product mix were partly offset by translation differences related to the weaker U.S. dollar in 2008, and the softening of specialty bakery product sales in the U.K. towards the end of the year driven by a weaker economy.

Adjusted Operating Earnings for the year declined by 48.6% to $21.1 million from $41.1 million last year. Lower earnings in the North American frozen bakery operations were driven by wheat, fuel and other inflationary cost increases. Price increases and benefits from strategic initiatives such as a freezer expansion at the Roanoke bakery were not sufficient to offset such inflationary costs in the year. During the year, the North American Frozen Bakery business undertook several initiatives to increase profitability and margins, including successful waste management programs and the closure of a bagel facility in Toronto. The Toronto bagel plant production was transferred to other regional plants in order to move production closer to customers and a new bagel line was commissioned at the Roanoke bakery in Virginia. Start up costs, and inefficiencies resulting from production transfers combined with higher utilities and maintenance costs further impacted the North American Frozen Bakery Adjusted Operating Earnings. Production on the new line at Roanoke started mid-January 2009; Management expects that combined with the reduction in transportation and distribution costs as production has been moved closer to customers, these initiatives will improve margins going forward. During the year, a new all natural line of frozen breads was launched.

Earnings in the U.K. bakery operations were impacted by incremental operating costs due to a fire in an oven on its principal bagel line at the Rotherham plant. This caused a significant amount of increased costs and disruption in the Rotherham operations, in addition to lower volumes as the Company was unable to promote bagels due to reduced capacity. Further

Management's Discussion and Analysis

costs were incurred to commission a new oven and to source bagels from the Company's North American operations. At the end of 2008, the new oven was not yet operating at planned capacity and Management expects that additional incremental production costs will be incurred during the first half of 2009.

In 2008, the Company received insurance proceeds of $14.7 million (recorded in Other Income) to cover business interruption losses resulting from the oven fire. These proceeds should be considered in combination with the Frozen Bakery operating results as they partly offset the operating impacts of the fire during 2008. Including such proceeds, Frozen Bakery Adjusted Operating Earnings would have been $35.8 million, 12.8% lower than last year.

As part of its acquisition integration activity, the U.K. bakery took steps to further reduce costs and improve operating efficiencies. Two small bakery operations were closed in Q4, with production from these facilities, primarily croissants and bagels, being transferred to the Company's larger bakeries in Maidstone and Rotherham.

GROSS MARGIN

Gross margin decreased by 6.9% to $296.6 million from $318.8 million last year. Margin compression was driven by increases in wheat and dairy commodity prices, fuel, utilities and general inflation, as well as higher production costs that resulted from the oven fire and new oven commissioning at the bagel facility in the U.K. Partially offsetting these impacts, were manufacturing efficiencies achieved in the North American Fresh Bakery operations. By the fourth quarter of 2008, margins had strengthened due to price increases implemented in the second quarter and the impact of declining commodity costs and internal cost reductions. However, margins were not fully restored in the year as the benefit from decreasing input costs was partially offset by the weaker Canadian dollar that affects the Canadian price of flour.

SELLING GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses increased by 5.1% to $199.0 million from $189.4 million in 2007 principally due to increased investment to support innovation, marketing and product development in the fresh and U.K. bakery operations, which were partially offset by cost optimization achieved in the North American Frozen Bakery operations.

OTHER INCOME

Other income for the year was $14.7 million (2007: $0.6 million), due to insurance proceeds received to cover business interruption losses resulting from the oven fire at the U.K. bakery.

OTHER MATTERS

On December 7, 2008, the Company announced that it was launching an investigation into allegations that a senior executive of its U.K. bakery operations may have sought to influence the pricing of a competitor who subsequently informed the Office of Fair Trading ("OFT") in the U.K. In January 2009, the Company was informed that the OFT has chosen not to launch an investigation into the allegations at this time. By mutual agreement, the Company has accepted the senior executive's resignation effective February 28, 2009. The Company has concluded its investigation of the allegations and no further action will be taken.

RESTRUCTURING AND OTHER RELATED COSTS

During 2008, the Company recorded $10.5 million in restructuring and other related costs ($8.1 million after-tax) related to the closure of a bagel facility in Toronto and two small bakery operations in the U.K. in the second half of 2008.

In 2007, the company recorded $4.6 million in restructuring and other related costs ($3.2 million after-tax) primarily in respect of the closure and decommissioning of its bakery in Langely, British Columbia and the announced closure of its bagel facility in Toronto, Ontario.

INTEREST EXPENSE

Interest expense was $7.8 million for the year compared to $5.6 million in 2007. The 2007 interest expense included $4.6 million of interest income generated by a cross-currency swap, which matured and was settled on January 1, 2008. The remaining interest expense on debt for 2008 was lower than for 2007 as a result of lower average debt balances and lower short-term interest rates. The Company's average effective cost of borrowing for 2008 was approximately 5.3% (2007: 4.8%).

TAXES

Income tax expense decreased to $29.1 million from $36.0 million in 2007 and the Company's effective tax rate increased from 30.1% in 2007 to 30.9% in 2008.

A reconciliation between statutory tax rates and the Company's effective tax rates is set out in Note 16 of the Consolidated Financial Statements.

During the third quarter of 2006, the Company recorded a tax expense of $21.2 million to write-down future tax assets related to its U.S. frozen bakery business. In 2008, a future tax valuation allowance of $3.5 million was recorded against additional tax losses generated by the U.S. frozen bakery business in the year. The total valuation allowance recorded on the losses related to the U.S. frozen bakery business is $30.6 million as of the end of 2008.

PENSION EXPENSE

Pension expense for the year was $10.9 million compared to $10.4 million in 2007. Components of pension expense are provided in Note 17 of the Consolidated Financial Statements.

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities, which are subject to fluctuations in market prices. In addition, the discount rates used to perform the actuarial calculation of the plan liabilities are also based on long-term market interest rates. Fluctuations in these market prices and rates can impact pension expense and funding requirements. During 2008, both equity and fixed income investments and markets suffered significant losses worldwide. As a result, the asset return in the Company's defined benefit pension plans experienced a loss of approximately 14.5% for 2008. The effect of these investment losses will be reflected in 2009 as higher pension expense. Management estimates that the increased expense related to changes in actuarial values for 2009 will not be significant. The Company has presented this estimate in order to provide readers with an understanding of the expected impact on pension expense due to market returns on the Company's pension plans in 2008 as well as the impact of revised actuarial calculations.

The Company's contributions are funded through cash flows generated from operations and management anticipates that future cash flows from operations will be sufficient to fund these contributions.

ACQUISITIONS AND DIVESTITURES

2008

On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec, for an initial purchase price of $44.2 million plus contingent consideration of up to $22.6 million based on financial performance for the three years following the acquisition date. The Company has allocated $18.2 million of the purchase price to the net identifiable assets of Martel at the acquisition date and $26.0 million to goodwill. The Company has not yet finalized the purchase price allocation for this acquisition.

2007

On August 17, 2007, the Company acquired La Fornaia Ltd. ("La Fornaia") a leading producer of a range of specialty Italian breads such as traditional ciabatta, organic breads and crisp breads for total consideration of £19.1 million ($40.7 million). During 2008, the Company finalized the purchase price allocation, allocating £2.6 million ($5.8 million) of the purchase price to the identifiable net assets of La Fornaia at the acquisition date, and £16.5 million ($34.9 million) to goodwill and intangible assets. The acquired intangible assets include £3.0 million ($5.7 million) allocated to customer relationships that are being amortized on a straight-line basis over their useful lives to a maximum of 25 years.

On February 26, 2007, the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $8.4 million. Chevalier is a leading producer of single-portion snack cake products in Quebec. During 2008, the Company has finalized the purchase price allocation, allocating $6.5 million of the purchase price to the identifiable net tangible assets of Chevalier at the acquisition date, $0.6 million to intangible assets and $1.3 million to goodwill.

TRANSACTIONS WITH RELATED PARTIES

On January 2, 2008, Maple Leaf settled a swap resulting in net proceeds to the Company of $80.6 million. The results of this settlement were reflected in the Company's 2008 financial statements.

Management's Discussion and Analysis

On September 2, 2008, the Company amended its primary credit facility provided by Maple Leaf. The effect of the amendment was an extension of the maturity date to December 27, 2011 and a modest increase in the pricing to reflect increases in market pricing for similar loans. The facility is unsecured and is subject to certain financial covenants.

Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management time for operating involvement, M&A transactions and access to bulk purchasing programs. Fees paid to Maple Leaf in 2008 for these services pursuant to a Management and Affiliation Agreement entered into in August 1995, were $16.6 million (2007: $15.8 million).

During 2008, the Company received certain information system services from Maple Leaf for a cost of $11.8 million (2007: $8.0 million). The change reflects the increased size of the Company and an increase in the level of services provided by Maple Leaf.

During 2008, the Company received certain engineering services from Maple Leaf for a cost of $0.8 million (2007: $0.8 million).

During 2008, the Company received certain marketing and consumer services from Maple Leaf for a cost of $1.1 million (2007: $0.7 million).

CAPITAL RESOURCES AND LIQUIDITY

CASH FLOW FROM OPERATIONS

Cash flow from operating activities for the year was $137.4 million compared to $122.1 million last year. The increase is largely attributable to an increase in accounts payable partially offset by lower net earnings.

DEBT FACILITIES

Historically, the Company generates a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

The Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $291.1 million (2007: $289.8 million), of which $27.9 million (2007: $134.6 million) was utilized (including $8.5 million in respect of letters of credit) at December 31, 2008 (2007: $8.8 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf, maturing on December 27, 2011. This unsecured facility was amended during the year and is subject to certain financial covenants. As at December 31, 2008, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility. At year end, the Company had $70.0 million (2007: $70.0 million) trade accounts receivable being serviced under this facility. This facility is accounted for as an off-balance sheet transaction in accordance with Generally Accepted Accounting Principles.

Details of these facilities are described in Notes 3 and 8 to the Consolidated Financial Statements.

CAPITAL EXPENDITURES

Capital spending for the year was $54.2 million compared to $85.7 million last year. Significant investments in the year included the addition of a bagel line in the Company's bakery in Roanoke, Virginia, and the installation of a new oven in the U.K. Rotherham bakery.

CONTRACTUAL OBLIGATIONS

Following is a summary of certain of the Company's material contractual obligations as at December 31, 2008:

		Payments due by fiscal year					
($ millions)	Total	2009	2010	2011	2012	2013	After 2013
Long-term debt	4.5	–	–	4.5	–	–	–
Lease obligations	60.9	18.0	12.7	9.1	7.2	5.6	8.3
Total contractual obligations	65.4	18.0	12.7	13.6	7.2	5.6	8.3

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program for at least the next 12 months. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

CAPITAL

The Company's objective is to maintain a simple and cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. The Company has established financial objectives including targets for return on net assets (11.5%) and compound annual earnings per share growth (15.0%). In allocating capital to investments to support these goals, the Company establishes internal hurdle return rates for all capital and acquisition initiatives. Capital projects are generally financed primarily with senior debt.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company maintains its primary credit ratios and leverage at levels that provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to EBITDA and EBITDA[(i)] to interest expense.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a stable dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2008, total equity increased by $73.3 million to $708.3 million. During the same period, total net debt [(i)] decreased by $32.4 million to $1.7 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held for trading
Accounts receivable	Loans and receivables
Due to/from Maple Leaf Foods	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments	Held for trading[(ii)]

(i) Refer to Non-GAAP measures on page 2.
(ii) The Company has derivative instruments, from time-to-time, that are classified as held for trading. These derivatives may also be designated as cash flow hedges or as fair value hedges as appropriate.

Management's Discussion and Analysis

Financial assets and liabilities designated as held for trading and all derivative financial instruments are recorded at fair value.

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. The carrying value of long-term debt as at December 31, 2008 is $4.5 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. Days sales outstanding for the year is consistent with historic trends. There are no significant impaired receivables that have not been provided for in the allowance for uncollectible accounts. Based on the above assumptions, as at December 31, 2008, the Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 28% of consolidated accounts receivable at December 31, 2008 and the two largest customers comprise approximately 31% of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

LIQUIDITY RISK

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2008, the Company had available undrawn committed credit of $245.6 million under the terms of its principal credit facility with Maple Leaf.

MARKET RISK

INTEREST RATE RISK

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. The Company has no significant interest bearing assets.

At December 31, 2008, the Company had variable rate debt of $13.4 million bearing a weighted average interest rate of 5.5%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2008, the amount sold pursuant to these programs was $70.0 million bearing average interest rates of 3.1%.

With respect to interest rate, foreign currency and commodity price market risk, sensitivity analyses discussing the effects of reasonably possible changes in relevant risk variables on net earnings and other comprehensive income on an after-tax basis are disclosed below. The periodic effects are determined by relating the reasonably possible changes in the risk variables to the balance of financial instruments at the reporting date.

It is estimated that, assuming all else remains constant, a one percentage point change in interest rates will not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

The Company uses interest rate swaps to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed rate borrowings. The notional amounts of these swaps, which are designated and accounted for as cash flow hedges, totaled $70.0 million at December 31, 2008 (2007: $70.0 million) with maturity dates ranging from June 2011 to June 2014. The fixed rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three month bankers' acceptance rates. These swaps had a fair value of negative $10.2 million at December 31, 2008 (2007: fair value of negative $2.6 million) of which $2.8 million is recorded in accounts payable and accrued charges and $7.4 million in other long-term liabilities at December 31, 2008.

As at December 31, 2008, 83.9% (2007: 37.3%) of the Company's exposure to interest rate fluctuations was hedged or fixed; the significant increase in the fixed rate percentage is due to the repayment of a majority of the floating rate debt in 2008.

FOREIGN EXCHANGE RISK

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars, primarily the U.S. dollar.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. As at December 31, 2008, there were foreign exchange forward contracts outstanding with a negative fair value of $0.2 million (2007: negative fair value of $0.2 million). In addition, the Company makes use of foreign currency forward contracts, which are accounted for as cash flow hedges. As at December 31, 2008, the Company did not have any foreign currency forward contracts designated in formal hedging relationships (2007: nil). It is estimated that, assuming all else remains constant, a hypothetical positive/negative 10% change in the value of the Canadian dollar against all relevant currencies would not materially impact net earnings.

COMMODITY PRICE RISK

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

Management's Discussion and Analysis

The Company applies the normal purchase and sales classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

For the years ended December 31, 2008 and 2007, the amount of hedge ineffectiveness recognized in earnings was not material.

All hedging and derivatives activity is governed by risk management policies that specify the type of allowed hedging instrument, maximum exposures and the allowable hedge activity. Maple Leaf Foods, Inc. is counterparty to the Company's non-exchange-traded derivatives.

SHARE CAPITAL AND DIVIDENDS

During 2008 and 2007, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2008 and 2007.

As of January 31, 2009, there were 25,416,812 common shares of the Company issued and outstanding.

ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Corporate Governance and Human Resources Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. In 2008, the Company began deployment of its Environmental Excellence program at close to half of its manufacturing facilities. This program establishes a standard environmental management system across the Company's various business interests. Deployment at the remainder of the Company's manufacturing facilities will continue in 2009. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental and social issues that go beyond short-term profitability that management believe must shape its business if the Company is to realize a sustainable future. On the environmental front, the Company is undertaking multiple initiatives in conjunction with key customers to reduce packaging, track greenhouse gas emissions and the miles it takes to produce and deliver food products. Increasingly sound environmental practices are becoming a key component of maintaining a competitive advantage. In 2008, the Company undertook a comprehensive planning process to establish its environmental sustainability priorities and develop longer-term environmental objectives. Priorities such as greenhouse gas and energy management, water conservation, waste reduction, packaging and supply chain environmental sustainability were established.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this document. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

SYSTEMS CONVERSION AND STANDARDIZATION

In 2008, Maple Leaf Foods Inc., the Company's IT service provider, made a decision to replace its information systems with an integrated ERP system from SAP. Poor design or execution of these changes, disruptions to and diversions of the Company's management resources or poor implementation of the information systems required to support the new structure could result in the project not achieving the objectives in the longer-term and may also negatively impact the Company's performance in the shorter-term. Any of the foregoing could result in a material adverse effect on the Company's financial condition and results of operations.

FOREIGN CURRENCIES

A significant amount of the Company's revenues and costs are either denominated in or directly linked to currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short-term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or the ability in the near-term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. These strategies may not always be successful, however. The Company's United Kingdom operations may also be affected in a similar manner, adversely or favourably, by changes in exchange rates between the U.S. and Canadian dollars, on the one hand, and the British pound on the other.

COMMODITIES

The Company is a purchaser of certain commodities, such as wheat and natural gas, in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the price it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

CONSOLIDATING CUSTOMER ENVIRONMENT

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

FOOD SAFETY AND CONSUMER HEALTH

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance.

The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with such procedures and regulations will necessarily mitigate the risks related to food safety. A food safety occurrence could have a material impact on the Company's financial condition and results of operations, which impact may include significant damage to the Company's brand and reputation.

Management's Discussion and Analysis

REGULATION AND LEGAL MATTERS

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labeling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licenses relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. If any of these or other proposals are enacted, the Company could experience a disruption in supply and may be unable to pass on the cost increases to its customers without incurring volume loss as a result of higher prices.

In the normal course of its operations, the Company becomes involved in various legal actions. The Company believes that the resolution of these claims will not have a material effect on the Company, based in part on the availability of insurance. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

CONSUMER TRENDS

Success of the Company depends in part on the Company's ability to respond to market trends to produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. The Company's failure to anticipate, identify or react to these changes or to innovate our products could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

ENVIRONMENTAL REGULATION

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity to the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites or to other matters or sites will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of wastes which are or may be considered hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

EMPLOYMENT MATTERS

The Company and its subsidiaries have approximately 8,500 full and part-time employees, which includes salaried and union employees many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each of which with differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore,

if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.

PENSION PLAN ASSETS AND LIABILITIES

In the normal course of business, the Company provides post retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities, which are subject to fluctuations in market prices. In addition, the discount rates used to perform the actuarial calculation of the plan liabilities are also based on long-term market interest rates. There can be no guarantee that fluctuations in these market prices and rates will not impact pension expense and funding requirements. Any increase in pension expense or funding requirements could have a material adverse impact on the Company's financial condition and results of operations.

CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's consolidated financial statements requires management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require a significant or complex judgement on the part of Management.

The following is a summary of certain accounting estimates or policies considered critical by the management of the Company.

GOODWILL VALUATION

Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of a reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. Indefinite life intangibles are tested for impairment annually in the fourth quarter and, as required, if events occur that indicate it is more likely than not the carrying value has been impaired. The impairment tests for indefinite life intangible assets and goodwill were performed in 2008 and no impairment was identified.

RESERVE FOR BAD DEBTS

The Company establishes an appropriate provision for uncollectible accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition.

PROVISIONS FOR INVENTORY

Management makes estimates as to the future customer demand for the Company's products when establishing the appropriate provisions for inventory. In making these estimates we consider the life of the product, the profitability of recent sales of the inventory, and changes in customer mix.

TRADE MERCHANDISE ALLOWANCES AND OTHER TRADE DISCOUNTS

The Company provides for estimated payments to customers based on various trade programs and contracts, which includes payments upon attainment of certain sales volumes. Significant estimates used to determine these liabilities include the level of customer performance and the historical promotional expenditure rate compared to contracted rates.

EMPLOYEE BENEFIT PLANS

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance of 7.5%, salary escalation of 3.5%, retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities.

Management's Discussion and Analysis

A 1% change in health care cost trend would not have a significant impact on the year end obligation or the 2008 current service and interest costs.

TAXES

The provision for income taxes is based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgement is required in determining income tax provisions, including evaluating tax positions and valuation allowances if applicable. The Company establishes additional provisions for income taxes when, despite the belief that existing tax positions are fully supportable, there remain certain tax positions that may be reviewed and reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. The tax provision includes the impact of changes to accruals that are considered appropriate.

RESTRUCTURING AND OTHER RELATED COSTS RESERVES

The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure that these accruals are still appropriate. In certain instances, Management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, Management may determine that certain accruals are insufficient as new events occur or as additional information is obtained.

CHANGE IN ACCOUNTING POLICIES

In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with International Financial Reporting Standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation", which replace Section 3861, "Financial Instruments – Disclosure and Presentation". The new standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 9.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 9 to the Consolidated Financial Statements.

Effective January 1, 2007, the Company adopted new financial instrument accounting standards that were issued by the CICA, including Handbook Section 1530, "Comprehensive Income", Handbook Section 3855, "Financial Instruments – Recognition and Measurement", and Handbook Section 3865, "Hedges".

The following table summarizes the adjustments required to adopt the new standards on January 1, 2007:

Increase in other current assets	$	3,369
Increase in future tax asset – long-term		85
Increase in other long-term liabilities		(3,616)
Accumulated other comprehensive loss – cash flow hedges		162

RECENT ACCOUNTING PRONOUNCEMENTS

In 2008, the CICA issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. This new standard is effective for the Company's interim and annual consolidated financial statements commencing January 1, 2009. The Company does not expect the adoption of the new standard will have a material impact on its financial statements.

In January 2009, the CICA issued Handbook Section 1582, "Business Combinations" ("CICA 1582"). CICA 1582 requires that all assets and liabilities of an acquired business will be recorded at fair value at acquisition. Obligations for contingent considerations and contingencies will also be recorded at fair value at the acquisition date. The standard also states that acquisition-related costs will be expensed as incurred and that restructuring charges will be expensed in the periods after the acquisition date. The Section applies prospectively to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period on or after January 1, 2011. The Company is currently assessing the impact of the new standard on its financial statements.

In January 2009, the CICA issued Handbook Section 1601, "Consolidations" ("CICA 1601"), and Section 1602, "Non-controlling Interests" ("CICA 1602"). CICA 1601 establishes standards for the preparation of consolidated financial statements. CICA 1602 establishes standards for accounting for a non-controlling interest in a subsidiary in consolidated financial statements subsequent to a business combination. These standards apply to interim and annual consolidated financial statements relating to fiscal years beginning on or after January 1, 2011. The Company is currently assessing the impact of the new standard on its financial statements.

In January 2009, the CICA issued EIC Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities". The EIC requires the Company to take into account the Company's own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The Company is currently assessing the impact of the new standard on its financial statements.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures are designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation.

The Company's Management, under the direction and supervision of the Company's Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls are designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Canadian GAAP.

The Company's Chief Executive Officer and Chief Financial Officer have evaluated, or caused to be evaluated under their supervision, the effectiveness of the Company's internal control over financial reporting and disclosure controls and procedures as at December 31, 2008, and have concluded that such controls and procedures are effective.

There have been no changes in the Company's internal control over financial reporting during the period beginning on October 1, 2008 and ended on December 31, 2008, that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

Management's Discussion and Analysis

INTERNATIONAL FINANCIAL REPORTING STANDARDS

For fiscal years beginning on or after January 1, 2011, Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS"). The Company will issue its financial statements in the first interim quarter in 2011 in accordance with IFRS including comparative data for 2010.

In order to meet the requirement of transition to IFRS the Company has established an enterprise-wide project and formed a steering committee. The Company's transition plan is comprised of three phases; initial diagnostic assessment, design, and implementation. The Company is currently in the process of finalizing the initial assessment of the impact of the adoption of IFRS. Changes in accounting policies upon adoption of IFRS are likely and may materially impact the Company's consolidated financial statements.

SUBSEQUENT EVENT

On February 23, 2009, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on April 1, 2009 to shareholders of record on March 10, 2009. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2009 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information for the eight interim periods ended December 31, 2008 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2008**	**$ 382,869**	**$ 437,418**	**$ 443,086**	**$ 444,957**	**$ 1,708,330**
	2007	$ 358,337	$ 375,723	$ 385,849	$ 393,270	$ 1,513,179
Net earnings	**2008**	**$ 12,211**	**$ 6,538**	**$ 19,727**	**$ 26,460**	**$ 64,936**
	2007	$ 17,910	$ 21,225	$ 21,087	$ 23,529	$ 83,751
Earnings per Share						
Basic EPS	**2008**	**$ 0.48**	**$ 0.26**	**$ 0.77**	**$ 1.04**	**$ 2.55**
	2007	$ 0.70	$ 0.84	$ 0.83	$ 0.93	$ 3.30
Adjusted EPS[1][2]	**2008**	**$ 0.52**	**$ 0.30**	**$ 0.93**	**$ 1.13**	**$ 2.87**
	2007	$ 0.76	$ 0.84	$ 0.83	$ 0.88	$ 3.31
Diluted EPS	**2008**	**$ 0.48**	**$ 0.26**	**$ 0.77**	**$ 1.04**	**$ 2.55**
	2007	$ 0.70	$ 0.84	$ 0.83	$ 0.93	$ 3.30

(1) Refer to Non-GAAP Measures on page 2.
(2) Does not add up due to rounding

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at **www.canadabread.ca**.

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning expected margin improvements due to moving production closer to customers and the opening of a new bagel line in Roanoke, Virginia, increased costs at the Company's U.K. bakery operations due to commissioning of a new oven, the expected increase in pension expenses and the sources of cash used to fund them, the sufficiency and source of funds for ongoing business requirements and capital investments, expectations regarding the sufficiency of the allowance for uncollectible accounts, analysis regarding the sensitivity of the business to changes in interest rates and exchange rates, expectations regarding environmental expenditures and the outcome of outstanding litigation and the impact of recently adopted accounting pronouncements. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general is based on a number of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of exchange of the Canadian dollar to the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks posed by the consolidating retail enviroment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks posed by compliance with extensive government regulation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements; and
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" on page 12 of this document. The reader should review such section in detail.

The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at **www.sedar.com**.

Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The Consolidated Financial Statements and related information in the annual report are the responsibility of management. The Consolidated Financial Statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the Consolidated Financial Statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's Consolidated Financial Statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the Consolidated Financial Statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



Richard A. Lan
President and
Chief Executive Officer
February 23, 2009



Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2008 and 2007 and the consolidated statements of earnings, comprehensive income, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2008 and 2007 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants,
Licensed Public Accountants
Toronto, Canada
February 23, 2009

Consolidated Balance Sheets

As at December 31, (In thousands of Canadian dollars)	2008	2007
ASSETS		
CURRENT ASSETS:		
Cash and cash equivalents	$ 11,721	$ 2,847
Accounts receivable (Note 3)	57,079	68,464
Due from Maple Leaf Foods Inc.	54	–
Inventories (Note 4)	58,696	47,036
Future tax asset – current (Note 16)	5,388	5,937
Prepaid expenses and other receivables	12,923	4,798
Other current assets	–	80,586
	$ 145,861	$ 209,668
Property and equipment (Note 5)	417,150	396,623
Goodwill	404,484	371,066
Other long-term assets (Note 6)	9,964	7,955
Other intangible assets (Note 7)	17,451	12,870
	$ 994,910	$ 998,182
LIABILITIES AND SHAREHOLDERS' EQUITY		
CURRENT LIABILITIES:		
Bank indebtedness	$ 8,894	$ 9,845
Accounts payable and accrued charges	207,928	177,695
Due to Maple Leaf Foods Inc.	–	5,408
Dividends payable	1,525	1,525
Income and other taxes payable	10,860	15,078
Current portion of long-term debt (Note 8)	41	107,644
	$ 229,248	$ 317,195
Long-term debt (Note 8)	4,477	5
Future tax liability – non-current (Note 16)	36,043	33,522
Other long-term liabilities (Note 10)	16,802	12,417
Shareholders' equity (Note 11)	708,340	635,043
	$ 994,910	$ 998,182

Contingencies and commitments (Note 20)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



Richard A. Lan
Director



William E. Aziz
Director

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts)
Years ended December 31,

	2008	2007
Sales	$ 1,708,330	$ 1,513,179
Cost of goods sold	1,411,729	1,194,337
Gross margin	$ 296,601	$ 318,842
Selling, general and administrative expenses	198,969	189,388
Earnings from operations before the following:	$ 97,632	$ 129,454
Restructuring and other related costs (Note 13)	(10,492)	(4,619)
Other income (Note 14)	14,702	581
Earnings before interest and income taxes	$ 101,842	$ 125,416
Interest expense (Note 15)	7,843	5,618
Earnings before income taxes	$ 93,999	$ 119,798
Income taxes (Note 16)	29,063	36,047
Net earnings	$ 64,936	$ 83,751
Earnings per share – basic (Note 22)	$ 2.55	$ 3.30
Earnings per share – diluted (Note 22)	$ 2.55	$ 3.30
Weighted average number of shares (millions)	25.4	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars)
Years ended December 31,

	2008	2007
Net earnings	$ 64,936	$ 83,751
Other comprehensive income (loss) (Note 12)		
Change in accumulated foreign currency translation adjustment	20,161	(29,290)
Change in unrealized derivative loss on cash flow hedges	(5,700)	(1,543)
	$ 14,461	$ (30,833)
Comprehensive income	$ 79,397	$ 52,918

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Retained Earnings

(In thousands of Canadian dollars)
Years ended December 31,

	2008	2007
Retained earnings, beginning of year	$ 528,327	$ 450,733
Net earnings	64,936	83,751
Dividends declared ($0.24 per share; 2007: $0.24 per share)	(6,100)	(6,100)
Inter-company acquisitions (Note 19)	–	(57)
Retained earnings, end of year	$ 587,163	$ 528,327

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) Years ended December 31,	2008	2007
CASH PROVIDED BY (USED IN):		
OPERATING ACTIVITIES		
Net earnings	$ 64,936	$ 83,751
Add (deduct) items not affecting cash:		
Depreciation and amortization	55,425	49,612
Future income taxes	3,605	4,374
Loss (gain) on sale of property and equipment	103	(515)
Other	1,419	(1,369)
Asset impairments and change in provision for restructuring and other related costs	4,037	2,002
Change in non-cash operating working capital	7,910	(15,740)
Cash provided by operating activities	$ 137,435	$ 122,115
FINANCING ACTIVITIES		
Dividends paid	(6,100)	(6,100)
Increase in long-term debt	–	20,831
Decrease in long-term debt	(103,132)	(67)
Settlement of cross-currency interest rate swap with Maple Leaf Foods Inc.	80,586	–
Cash provided by (used in) financing activities	$ (28,646)	$ 14,664
INVESTING ACTIVITIES		
Additions to property and equipment	(54,170)	(85,729)
Proceeds from sale of property and equipment	512	922
Acquisition of businesses, net of cash acquired (Note 19)	(44,827)	(48,865)
Change in intangible assets	(479)	155
Cash used in investing activities	$ (98,964)	$ (133,517)
Increase in cash and cash equivalents	9,825	3,262
Net cash and cash equivalents, beginning of year	(6,998)	(10,260)
Net cash and cash equivalents, end of year	$ 2,827	$ (6,998)

See accompanying Notes to the Consolidated Financial Statements

Notes to the Consolidated Financial Statements

Years ended December 31, 2008 and 2007
(Tabular amounts in thousands of Canadian dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2008.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company which are in accordance with Canadian Generally Accepted Accounting Principles.

(A) PRINCIPLES OF CONSOLIDATION

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for at cost or at fair value depending on whether such investments are publicly traded.

(B) USE OF ESTIMATES

The preparation of periodic financial statements necessarily involves the use of estimates. Estimates are used when accounting for items and matters such as allowances for uncollectible accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other related costs and contingencies. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(C) TRANSLATION OF FOREIGN CURRENCIES

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year-end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Exchange gains or losses on translation of foreign subsidiaries are included in the other comprehensive income, a component of shareholders' equity until realized.

(D) REVENUE RECOGNITION

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as a reduction of revenue. Sales incentives include various rebate and promotional programs provided to the Company's customers. The rebates are primarily based on achievement of specified volume or growth in volume levels.

(E) FINANCIAL INSTRUMENTS

The Company's financial assets and financial liabilities are classified as held for trading, available-for-sale financial assets, held-to-maturity investments, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments are measured at fair value with changes in fair value recognized in net earnings in the period in which they arise. Available-for-sale financial assets are measured at fair value with changes in fair value recognized in other comprehensive income in the period in which they arise. Loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

(F) HEDGE ACCOUNTING

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded in other comprehensive income, to the extent it is effective, until the hedged item affects the consolidated statement of earnings. The Company uses cash flow hedges to mitigate the risk from variable cash flows associated with forecasted foreign currency denominated cash flows.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statement of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument, to the extent effective, is recorded directly in other comprehensive income. These amounts are recognized in income when the corresponding cumulative translation adjustments from self-sustaining foreign operations are recognized in income.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statement of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in earnings as the hedged item affects earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through earnings without any offset from the hedged item.

Changes in the fair value of derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheet, and subsequent changes in their fair value are recorded in the consolidated statement of earnings.

(G) INVENTORIES

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(H) IMPAIRMENT OR DISPOSAL OF LONG-LIVED ASSETS

The Company reviews long-lived assets or asset groups held and used including property and equipment and intangible assets subject to amortization for recoverability whenever events or changes in circumstances indicates that their carrying amount may not be recoverable. Recoverability of assets to be held and used is measured by comparing the carrying amount of the asset to the sum of the undiscounted cash flows expected to result from the use and eventual disposal of the asset or asset group. An impairment loss is recognized when the carrying amount is not recoverable and exceeds the fair value of the asset or asset group. Long-lived assets are classified as held for sale when certain criteria are met and the sale is expected to be completed within one year. These assets to be disposed of are separately presented in the balance sheet and reported at the lower of the carrying amount or fair value less costs to sell, and are no longer depreciated.

Notes to the Consolidated Financial Statements

(I) PROPERTY AND EQUIPMENT

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Construction in process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2.5% to 6%
Machinery and equipment	10% to 33%

(J) FINANCING COSTS

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and the amount amortized is included in interest expense for the year.

(K) GOODWILL AND OTHER INTANGIBLES

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands, customer relationships and delivery routes.

Definite life intangibles are amortized over their estimated useful lives. Goodwill is not amortized and is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of a reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. Indefinite life intangibles are tested for impairment annually in the fourth quarter and, as required, if events occur that indicate it is more likely than not the carrying value has been impaired. The impairment tests for indefinite life intangible assets and goodwill were performed in 2008 and 2007 and no impairments were identified.

(L) INCOME TAXES

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date. A valuation allowance is recognized against future tax assets when it is more likely than not that all or some part of the asset will not be realized.

(M) EMPLOYEE BENEFIT PLANS

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the fair value of assets at the beginning of the year and all gains and losses due to changes in plan provisions are amortized on a straight-line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(N) STATEMENT OF CASH FLOWS

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(O) ACCOUNTING CHANGES

(i) In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with International Financial Reporting Standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

(ii) In October 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation", which replace Section 3861, "Financial Instruments – Disclosure and Presentation". The new standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 9.

(iii) In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 9.

(iv) Effective January 1, 2007 the Company adopted new financial instrument accounting standards that were issued by the CICA, including Handbook Section 1530, "Comprehensive Income", Handbook Section 3855, "Financial Instruments – Recognition and Measurement", and Handbook Section 3865, "Hedges".

The following table summarizes the adjustments required to adopt the new standards on January 1, 2007:

Increase in other current assets	$	3,369
Increase in future tax asset – long-term		85
Increase in other long-term liabilities		(3,616)
Accumulated other comprehensive loss – cash flow hedges		162

(P) RECENT ACCOUNTING PRONOUNCEMENTS

In 2008, the CICA issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. This new standard is effective for the Company's interim and annual consolidated financial statements commencing January 1, 2009. The Company does not expect the adoption of the new standard will have a material impact on its financial statements.

In January 2009, the CICA issued Handbook Section 1582, "Business Combinations" ("CICA 1582"). CICA 1582 requires that all assets and liabilities of an acquired business will be recorded at fair value at acquisition. Obligations for contingent considerations and contingencies will also be recorded at fair value at the acquisition date. The standard also states that acquisition-related costs will be expensed as incurred and that restructuring charges will be expensed in the periods after the acquisition date. The Section applies prospectively to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period on or after January 1, 2011. The Company is currently assessing the impact of the new standard on its financial statements.

In January 2009, the CICA issued Handbook Section 1601, "Consolidations" ("CICA 1601"), and Section 1602, "Non-controlling Interests" ("CICA 1602"). CICA 1601 establishes standards for the preparation of consolidated financial statements. CICA 1602 establishes standards for accounting for a non-controlling interest in a subsidiary in consolidated financial statements subsequent to a business combination. These standards apply to interim and annual consolidated financial statements relating to fiscal years beginning on or after January 1, 2011. The Company is currently assessing the impact of the new standard on its financial statements.

Notes to the Consolidated Financial Statements

In January 2009, the CICA issued EIC Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities". The EIC requires the Company to take into account the Company's own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The Company is currently assessing the impact of the new standard on its financial statements.

(Q) COMPARATIVE FIGURES

Certain 2007 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2008.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2008, trade accounts receivable being serviced under this program amounted to $70.0 million (2007: $70.0 million).

4. INVENTORIES

	2008	2007
Raw materials	$ 16,182	$ 12,708
Finished goods	20,304	13,978
Packaging	8,804	8,611
Spare parts	13,406	11,739
	$ 58,696	$ 47,036

5. PROPERTY AND EQUIPMENT

	2008	2007
Land	$ 26,878	$ 25,295
Buildings	180,023	159,574
Machinery and equipment	544,360	489,993
Construction in progress	46,785	48,452
	798,046	723,314
Less: Accumulated depreciation	380,896	326,691
	$ 417,150	$ 396,623

6. OTHER LONG-TERM ASSETS

	2008	2007
Deferred pension asset (Note 17)	$ 9,684	$ 7,490
Other assets	280	465
	$ 9,964	$ 7,955

7. OTHER INTANGIBLE ASSETS

	2008	2007
Customer relationships	$ 12,478	$ 8,424
Other	4,973	4,446
	$ 17,451	$ 12,870

8. LONG-TERM DEBT

	2008	2007
Due to Maple Leaf (a)	$ 4,446	$ 107,464
Obligations under capital leases	72	185
	4,518	107,649
Less: Current portion	41	107,644
	$ 4,477	$ 5

(a) Canada Bread has a $250.0 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on December 27, 2011. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Net interest under these facilities with Maple Leaf was $4.4 million in 2008 (2007: $1.2 million).

(b) In 2006, the Company established an operating line of credit of £5.0 million ($8.9 million) to provide short-term funding for its U.K. operations. The facility has interest based on Libor rates. As of December 31, 2008, £5.0 million ($8.9 million); (2007: £5.0 million; $9.8 million) was outstanding and has been classified as bank indebtedness.

(c) The Company has demand operating facilities of $22.2 million (2007: $20.0 million), which bear interest at short-term rates. At December 31, 2008, $6.0 million (2007: $8.4 million) was utilized under these facilities.

(d) The Company has a demand letter of credit facility of $10.0 million (2007: $10.0 million) of which $8.5 million as at December 31, 2008, (2007: $8.8 million) was utilized.

(e) The Company's weighted average cost of borrowing for 2008 was 5.3% (2007: 4.8%), after adjusting for payments made under swap contracts in place.

Required repayments of long-term debt are as follows:

2009	$ 41
2010	25
2011	4,452
	$ 4,518

9. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

CAPITAL

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. The Company has established financial objectives including targets for return on net assets (11.5%) and compound annual earnings per share growth (15.0%). In allocating capital to investments to support these goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company maintains its primary credit ratios and leverage at levels that provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, income taxes, depreciation, amortization and restructuring and other related costs as well as earnings before interest, income taxes, depreciation, amortization and restructuring and other related costs to interest expense. The Company's primary credit facility with Maple Leaf was amended on September 2, 2008 to extend the final maturity date to December 27, 2011 and to adjust pricing to reflect increases in market prices for similar loans. This revolving credit facility, which provides for available credit of up to $250.0 million is unsecured and is subject to certain financial covenants. As at December 31, 2008, the Company was in compliance with all of these covenants.

Notes to the Consolidated Financial Statements

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a stable dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2008, total equity increased by $73.3 million to $708.3 million. During the same period, total debt net of cash, cash equivalents and currency swaps decreased by $32.4 million to $1.7 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held for trading
Accounts receivable	Loans and receivables
Due to/from Maple Leaf Foods	Loans and receivables
Other receivables	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments	Held for trading(i)

(i) The Company has derivative instruments, from time to time, that are classified as held for trading. These derivatives may also be designated as cash flow hedges or as fair value hedges as appropriate.

Financial assets and liabilities designated as held for trading and all derivative financial instruments are recorded at fair value.

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. The carrying value of long-term debt as at December 31, 2008 is $4.5 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. Days sales outstanding for the year is consistent with historic trends. There are no significant impaired receivables that have not been provided for in the allowance for uncollectible accounts. As at December 31, 2008, the Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three

largest customers comprise approximately 27.6% of consolidated accounts receivable at December 31, 2008 and the two largest customers comprise approximately 30.9% of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

LIQUIDITY RISK

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	As at December 31, 2008				
	Due within 1 year	Due between 1 and 2 years	Due between 2 and 3 years	Due after 3 years	**Total**
Non-derivative financial liabilities					
Bank indebtedness	$ 8,894	$ –	$ –	$ –	**$ 8,894**
Accounts payable and accrued charges	207,928	–	–	–	**207,928**
Dividends payable	1,525	–	–	–	**1,525**
Long-term debt	41	25	4,452	–	**4,518**
Total	**$ 218,388**	**$ 25**	**$ 4,452**	**$ –**	**$ 222,865**

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2008, the Company had available undrawn committed credit of $245.6 million under the terms of its principal credit facility with Maple Leaf.

MARKET RISK

INTEREST RATE RISK

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed-rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. In addition, the Company's cash balances are typically invested in short-term interest bearing assets.

At December 31, 2008, the Company had variable rate debt of $13.4 million with a weighted average interest rate of 5.5%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2008, the amount sold pursuant to these programs was $70.0 million at a weighted average interest rate of 3.1%.

With respect to interest rate, foreign currency and commodity price market risk, sensitivity analyses discussing the effects of reasonably possible changes in relevant risk variables on net earnings and other comprehensive income on an after-tax basis are disclosed below. The periodic effects are determined by relating the reasonably possible changes in the risk variables to the balance of financial instruments at the reporting date.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

Notes to the Consolidated Financial Statements

The Company uses interest rate swaps to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed-rate borrowings. The notional amounts of these swaps, which are designated and accounted for as cash flow hedges, totalled $70.0 million at December 31, 2008 (2007: $70.0 million) with maturity dates ranging from June 2011 to June 2014. The fixed-rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three-month bankers' acceptance rates. These swaps had a fair value of negative $10.2 million at December 31, 2008 (2007: fair value of negative $2.6 million) of which $2.8 million is recorded in accounts payable and accrued charges and $7.4 million in other long-term liabilities at December 31, 2008.

As at December 31, 2008, 83.9% (2007: 37.3%) of the Company's outstanding debt and revolving accounts receivable securitization program was not exposed to interest rate movements.

FOREIGN EXCHANGE RISK

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges. As at December 31, 2008, the Company did not have any foreign currency forward contracts designated in formal hedging relationships and there were foreign exchange forward contracts outstanding with a negative fair value of $0.2 million.

It is estimated that, all else constant, a hypothetical positive/negative 10.0% change in the value of the Canadian dollar against all relevant currencies would not materially impact net earnings.

COMMODITY PRICE RISK

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The Company applies the normal purchase and sales classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The fair values and notional amounts of derivative financial instruments by hedge type are shown below:

	2008			2007		
	Notional Amount	Fair Value		Notional Amount	Fair Value	
		Asset	Liability		Asset	Liability
CASH FLOW HEDGES						
Interest rate swaps	**$70,000**	**$ –**	**$ 10,219**	$70,000	$ –	$ 2,598
Cross-currency interest rate swap	**–**	**–**	**–**	US$140,000	80,586	–
DERIVATIVES NOT DESIGNATED IN A FORMAL HEDGING RELATIONSHIP						
Foreign exchange forward contracts[(i)]	**$20,987**	**$ –**	**$ 153**	$9,690	$ –	$ 202
Total		**$ –**	**$ 10,372**		$ 80,586	$ 2,800
Current		**$ –**	**$ 2,977**		$ 80,586	$ 419
Non-current		**–**	**7,395**		–	2,381
Total		**$ –**	**$ 10,372**		$ 80,586	$ 2,800

(i) Notional amounts are stated at the contractual Canadian dollar equivalent.

For the years ended December 31, 2008 and 2007, the amount of hedge ineffectiveness recognized in earnings was not material.

10. OTHER LONG-TERM LIABILITIES

		2008		2007
Post-retirement benefit liability (Note 17)	$	**2,988**	$	3,065
Pension liability (Note 17)		**3,887**		4,175
Other		**9,927**		5,177
	$	**16,802**	$	12,417

11. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

		2008		2007
Share capital (25,416,812 common shares (2007: 25,416,812 common shares))	$	**142,965**	$	142,965
Retained earnings		**587,163**		528,327
Accumulated other comprehensive loss (Note 12)		**(21,788)**		(36,249)
	$	**708,340**	$	635,043

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2008 there were no issued and outstanding preference shares.

12. ACCUMULATED OTHER COMPREHENSIVE LOSS

Accumulated other comprehensive loss consists of the following:

		2008		2007
Balance at the beginning of the year	$	**(36,249)**	$	(5,254)
Transition adjustment as at January 1, 2007 (Note 2(o))		**–**		(162)
Adjusted balance at the beginning of the year	$	**(36,249)**	$	(5,416)
Change in accumulated foreign currency translation adjustment[(i)]		**20,161**		(29,290)
Change in unrealized derivative loss on cash flow hedges – net[(ii)]		**(5,700)**		(1,543)
Other comprehensive income (loss) for the year	$	**14,461**	$	(30,833)
Accumulated other comprehensive loss as at December 31	$	**(21,788)**	$	(36,249)

(i) Balance at the beginning of the current year is net of tax of $nil million. The change in accumulated foreign currency translation adjustment is net of taxes of $nil for the 12 months ended December 31, 2008 (2007: $nil).
(ii) Change in unrealized derivative loss on cash flow hedges is net of tax of $1.9 million for the 12 months ended December 31, 2008 (2007: $1.0 million).

The Company estimates that $2.0 million of net derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year, a loss of approximately $0.7 million (net of tax of $0.3 million) was released to income from accumulated other comprehensive loss, which is included in the net change for the year.

The ending balance of accumulated other comprehensive loss comprises accumulated unrealized foreign currency translation losses of $14.4 million, net of taxes of $nil (2007: $34.5 million, net of taxes of $nil) and unrealized derivative loss on cash flow hedges of $7.4 million, net of taxes of $2.8 million (2007: $1.7 million, net of taxes of $0.9 million).

Notes to the Consolidated Financial Statements

13. RESTRUCTURING AND OTHER RELATED COSTS

During 2008, the Company recorded restructuring and other related costs of $10.5 million ($8.1 million after-tax). The majority of these costs related to the closure of a bagel facility in Toronto, Ontario, and the closure of two facilities in the United Kingdom.

In 2007, the Company recorded restructuring and other related costs of $4.6 million ($3.2 million after-tax) relating primarily to the closure of a fresh bakery plant in British Columbia and the closure of a bagel facility in Toronto, Ontario. Also included were lease termination costs related to the winding down of the fresh waffle business in Ontario. In 2006, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after-tax).

The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in 2008, 2007 and 2006 as well as the related liability:

	Severance	Site closing	Asset Impairment and accelerated depreciation	Retention	**Total**
Balance at December 31, 2006	$ 2,525	$ 1,361	$ –	$ –	**$ 3,886**
Charges during the year	939	1,127	2,490	63	**4,619**
Cash payments	(642)	(1,679)	–	(8)	**(2,329)**
Non-cash items	–	–	(2,490)	–	**(2,490)**
Balance at December 31, 2007	$ 2,822	$ 809	$ –	$ 55	**$ 3,686**
Charges	979	5,070	4,443	–	**10,492**
Cash payments	(2,664)	(2,923)	–	(55)	**(5,642)**
Non-cash items	–	–	(4,443)	–	**(4,443)**
Balance at December 31, 2008	**$ 1,137**	**$ 2,956**	**$ –**	**$ 137**	**$ 4,093**

14. OTHER INCOME

	2008	2007
Recovery from insurance claim[(i)]	**$ 14,746**	$ –
Gain (loss) on sale of property and equipment	**(103)**	515
Other	**59**	66
	$ 14,702	$ 581

(i) In 2008, the Company received an insurance settlement of approximately $14.7 million to cover business interruption losses resulting from a fire at its bagel plant in the United Kingdom.

15. INTEREST EXPENSE

	2008	2007
Interest expense on securitized receivables (Note 3)	**$ 2,718**	$ 3,494
Interest expense on long-term debt (Note 8)	**4,421**	1,185
Other interest expense	**704**	939
	$ 7,843	$ 5,618

16. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

		2008		2007
Income tax expense according to combined statutory rate of 32.0% (2007: 33.4%)	**$**	**30,109**	$	39,993
Increase (decrease) in income taxes resulting from:				
Manufacturing and processing credit		**(551)**		(949)
Rate difference in foreign jurisdictions		**(3,074)**		(3,942)
Non-taxable gains		**(123)**		(73)
Non-taxable foreign currency gains		**(430)**		–
Valuation allowance – U.S. tax losses		**3,540**		5,704
Future tax rate changes		**(726)**		(2,762)
Other		**318**		(1,924)
	$	**29,063**	$	36,047

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

		2008		2007
Future tax assets:				
Accrued assets	**$**	**2,450**	$	1,170
Investment in foreign subsidiary		**–**		13,028
Losses carry forward		**41,951**		27,138
Other		**4,418**		1,775
Valuation allowance		**(38,893)**		(27,138)
	$	**9,926**	$	15,973
Future tax liabilities:				
Plant and equipment – differences in net book value and undepreciated capital cost	$	20,151	$	19,158
Derivative financial instrument		–		13,028
Goodwill		13,325		10,427
Other		7,105		945
	$	40,581	$	43,558
Classified in the consolidated financial statements as:				
Future tax asset – current	$	5,388	$	5,937
Future tax liability – non-current		(36,043)		(33,522)
Net future tax liability	$	(30,655)	$	(27,585)

In accordance with CICA Handbook Section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. frozen bakery business, there continues to be sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, during the year the Company recorded an additional valuation allowance of US$3.5 million ($3.8 million) (2007: US$5.4 million ($5.7 million)) against current year U.S. tax losses and a valuation allowance has been recorded for all the accumulated tax losses in the U.S.

Notes to the Consolidated Financial Statements

17. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows:

	2008	2007
Accrued benefit obligation:		
Balance, beginning of year	**$ 128,093**	$ 131,133
Current service cost	**3,268**	4,003
Interest cost	**6,715**	6,669
Benefits paid	**(7,254)**	(8,055)
Actuarial gains	**(19,695)**	(9,160)
Employee contributions	**956**	973
Plan amendments	**–**	2,530
Special termination benefits	**300**	–
Curtailments	**362**	–
Balance, end of year	**$ 112,745**	$ 128,093
Plan assets:		
Fair value, beginning of year	**$ 106,618**	$ 109,449
Actual return on plan assets	**(16,261)**	(641)
Employer contributions	**5,741**	4,892
Employee contributions	**956**	973
Benefits paid	**(7,254)**	(8,055)
Fair value, end of year	**$ 89,800**	$ 106,618
Funded status – plan deficit	**$ (22,945)**	$ (21,475)
Unamortized transitional amount	**(5,112)**	(5,890)
Unamortized actuarial losses	**30,556**	26,995
Unamortized prior service costs	**2,856**	3,255
Net accrued benefit asset, end of year[(i)]	**$ 5,355**	$ 2,885

(i) Includes one defined benefit plan with an accrued benefit liability of $4.3 million (2007:$4.6 million).

Amounts recognized in the consolidated balance sheet consist of:

	2008	2007
Other long-term assets	**$ 9,684**	$ 7,490
Accounts payable and accrued charges	**442**	430
Other long-term liabilities	**3,887**	4,175

The pension assets are invested in the following asset categories at December 31:

	2008	2007
Equity securities	**54%**	62%
Debt securities	**46%**	38%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2008	2007
Discount rate used to calculate net benefit plan expense	**5.25%**	5.00%
Discount rate used to calculate year end accrued benefit obligation	**6.50%**	5.25%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**3.50%**	3.50%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2008	2007
Current service cost – defined contribution plans	**$ 7,633**	$ 7,412
Current service cost – defined benefit plans	**3,268**	4,003
Interest cost	**6,715**	6,669
Actual return on plan assets	**16,261**	641
Difference between actual and expected return on assets	**(24,164)**	(8,731)
Actuarial gain recognized	**(19,695)**	(9,160)
Difference between actual and recognized actuarial losses in the year	**20,603**	10,155
Amortization of transitional amount	**(778)**	(778)
Difference between prior service costs and actual plan amendments in the year	**249**	(2,324)
Plan amendments	**–**	2,530
Curtailment loss	**512**	–
Special termination benefits	**300**	–
Net benefit plan expense	**$ 10,904**	$ 10,417

Measurement dates for defined benefit plan obligations and expense:

2008 Expense	December 31, 2007
Balance Sheet	December 31, 2008

In addition, the Company has accrued and included in other long-term liabilities $3.0 million (2007: $3.1 million) in respect of post-retirement benefit obligations. A one percentage change in health care cost trend would not have significant impact on the year-end obligation or the 2008 current service cost and interest costs.

18. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services including; treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management time for operating involvement, M&A transactions, information system services, engineering services, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2008 for these services were $30.3 million (2007: $25.3 million).

Maple Leaf is the counter party to the Company's non-exchange traded derivatives (Note 9). On January 2, 2008 Maple Leaf paid $80.6 million to the Company to settle its obligations under a cross-currency interest rate swap at maturity, which had been classified as other current assets as at December 31, 2007.

Notes to the Consolidated Financial Statements

19. ACQUISITIONS

2008

(a) On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for a purchase price of $44.2 million plus contingent consideration of up to $22.6 million based on financial performance over the three years following the acquisition date. The Company has allocated $18.2 million of the purchase price to the net identifiable assets of Martel at the acquisition date and $26.0 million to goodwill. The Company has not yet finalized the purchase equation for this acquisition.

Details of net assets acquired and purchase adjustments made in 2008 are as follows:

	Martel	Other[i]	2008 Total
Net working capital	$ 3,997	$ (998)	**$ 2,999**
Future tax asset – non-current	164	–	**164**
Property and equipment	14,474	(11)	**14,463**
Intangible assets	–	6,312	**6,312**
Goodwill	25,962	(3,742)	**22,220**
Future tax liability – non-current	(356)	(1,444)	**(1,800)**
Other long-term liabilities	–	469	**469**
Total purchase cost	$ 44,241	$ 586	**$ 44,827**

(i) Other includes the impact of the finalization of the purchase equations for La Fornaia and Chevalier in 2008.

2007

(a) On August 17, 2007, the Company acquired La Fornaia Ltd. ("La Fornaia") a leading producer of a range of specialty Italian breads for total consideration of £19.1 million ($40.7 million). During 2008, the Company finalized the purchase price equation allocating £2.6 million ($5.8 million) of the purchase price to the identifiable net assets of La Fornaia at the acquisition date, and £16.5 million ($34.9 million) to goodwill and intangible assets. The acquired intangible assets include £3.0 million ($5.7 million) allocated to customer relationships that are being amortized on a straight-line basis over their useful lives to a maximum of 25 years.

(b) On February 26, 2007, the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $8.4 million. Chevalier is a producer of single-portion snack cake products in Quebec. During 2008, the Company has finalized the purchase equation allocating $6.5 million of the purchase price to the identifiable net tangible assets of Chevalier at the acquisition date, $0.6 million to intangible assets and $1.3 million to goodwill.

Details of net assets acquired and purchase adjustments made in 2007 are as follows:

	La Fornaia	Chevalier	Other[i]	2007 Total
Bank indebtedness acquired	$ (25)	$ (15)	$ –	**$ (40)**
Non-cash working capital	2,349	780	(965)	**2,164**
Property and equipment	5,953	5,827	(1,696)	**10,084**
Other long-term assets	–	148	9,249	**9,397**
Goodwill	32,419	1,787	(4,013)	**30,193**
Future tax liability – non-current	104	(85)	(2,359)	**(2,340)**
Other long-term liabilities	(469)	(221)	–	**(690)**
Retained earnings	–	–	57	**57**
Total purchase price	$ 40,331	$ 8,221	$ 273	**$ 48,825**

(ii) Other includes the impact of the finalization of prior year purchase equations.

20. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $9.3 million (2007: $10.5 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2009	$	17,997
2010		12,660
2011		9,119
2012		7,243
2013		5,633
Thereafter		8,261
	$	60,913

21. SUPPLEMENTAL CASH FLOW INFORMATION

	2008	2007
Net interest paid	**$ 7,780**	$ 5,668
Net income taxes paid	**28,692**	38,668

22. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

	2008	2007
Numerator:		
Earnings available to common shareholders – basic and diluted	**$ 64,936**	$ 83,751
Denominator:		
Weighted average common shares outstanding – basic and diluted (in thousands)	**25,417**	25,417
Earnings per share:		
Basic	**$ 2.55**	$ 3.30
Diluted	**2.55**	3.30

23.SUBSEQUENT EVENT

On February 23, 2009, the Company declared a dividend of $0.06 per share, payable to shareholders of record as of March 10, 2009, on April 1, 2009.

Notes to the Consolidated Financial Statements

24. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	2008	2007
Sales to customers		
Fresh Bakery	**$ 1,094,190**	$ 945,853
Frozen Bakery	**614,140**	567,326
	$ 1,708,330	$ 1,513,179
Earnings from operations before restructuring and other related costs and other income		
Fresh Bakery	**$ 76,529**	$ 88,402
Frozen Bakery	**21,103**	41,052
	$ 97,632	$ 129,454
Capital expenditures		
Fresh Bakery	**$ 24,462**	$ 40,393
Frozen Bakery	**29,708**	45,336
	$ 54,170	$ 85,729
Depreciation and amortization		
Fresh Bakery	**$ 28,563**	$ 25,683
Frozen Bakery	**26,862**	23,929
	$ 55,425	$ 49,612
Total assets		
Fresh Bakery	**$ 440,733**	$ 400,518
Frozen Bakery	**523,843**	573,772
Non-allocated assets	**30,334**	23,892
	$ 994,910	$ 998,182
Goodwill		
Fresh Bakery	**$ 156,268**	$ 131,256
Frozen Bakery	**248,216**	239,810
	$ 404,484	$ 371,066

Corporate Information

DIRECTORS
Michael H. McCain
Chairman of the Board

Richard A. Lan
President and Chief Executive Officer

William E. Aziz
Sarah A. Everett
G. Wallace F. McCain C.C.
J. Scott McCain
John F. Petch
Michael H. Vels

CORPORATE OFFICE
10 Four Seasons Place
Toronto, Ontario M9B 6H7
Tel: 416-622-2040
www.canadabread.ca

STOCK EXCHANGE LISTING AND STOCK SYMBOL
The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "CBY".

COMPANY INFORMATION
For public and investor relations inquiries, please call 416-926-2000. Copies of the Company's annual and interim reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Corporate Secretary upon request.
Please contact: 416-926-2000.

ANNUAL MEETING
The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Wednesday, May 6, 2009 at 2:30 p.m.

AUDITORS
KPMG LLP

REGISTRAR AND TRANSFER AGENT
Computershare Investor Services Inc.

SHAREHOLDER INFORMATION
Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
Computershare Investor Services Inc.
100 University Avenue, 9th Floor
Toronto, Ontario, M5J 2Y1, Canada
Tel: 514-982-7555 or
1-800-564-6253
(toll-free North America)
or service@computershare.com

Canada Bread Company, Limited

10 Four Seasons Place
Toronto, Ontario
Canada M9B 6H7

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